Case No. 23-1761

UNITED STATES COURT OF APPEALS
FOR THE SIXTH CIRCUIT

JOE BRUNEAU; DAVID PHILLIPS; DANA RALKO; PATRICIA RALKO; MARY RANDALL; OSRO RANDALL; JAMES MRDUTT; ALICIA MRDUTT, individually and on behalf of all those similarly situated,

Plaintiffs-Appellants,

v.

MICHIGAN DEPARTMENT OF ENVIRONMENT, GREAT LAKES AND ENERGY; MICHIGAN DEPARTMENT OF NATURAL RESOURCES; FOUR LAKES TASK FORCE,

Defendants,

MIDLAND COUNTY, MI; GLADWIN COUNTY, MI; JOHN DOES 1-100,

Defendants-Appellees.

On Appeal from the United States District Court for the Eastern District of Michigan

ON APPEAL FROM THE U.S. DISTRICT COURT
EASTERN DISTRICT OF MICHIGAN

BRIEF OF DEFENDANTS-APPELLEES MIDLAND COUNTY, MI AND GLADWIN COUNTY, MI

ORAL ARGUMENT REQUESTED

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UNITED STATES COURT OF APPEALS
FOR THE SIXTH CIRCUIT

DISCLOSURE OF CORPORATE AFFILIATIONS AND FINANCIAL INTEREST

Disclosure of Corporate Affiliations and Financial Interest

Pursuant to 6th Cir. R. 26.1, Gladwin County, MI makes the following disclosure:

Sixth Circuit
Case Number: 23-1761 Case Name: Bruneau et al v. MI Dept of Envt et al.
Name of counsel: Kevin J. Campbell

1. Is said party a subsidiary or affiliate of a publicly owned corporation? If yes, list below the identity of the parent corporation or affiliate and the relationship between it and the named party:

Pursuant to 6th Cir. R. 26.1, Gladwin County
Name of Party

makes the following disclosure:

No

1. Is said party a subsidiary or affiliate of a publicly owned corporation? If Yes, list below the identity of the parent corporation or affiliate and the relationship between it and the named party:

2. Is there a publicly owned corporation, not a party to the appeal, that has a financial interest in the outcome? If yes, list the identity of such corporation and the nature of the financial interest:

No

No

2. Is there a publicly owned corporation, not a party to the appeal, that has a financial interest in the outcome? If yes, list the identity of such corporation and the nature of the financial interest:

No

CERTIFICATE OF SERVICE

I certify that on 8/28/23 the foregoing document was served on all parties or their counsel of record through the CM/ECF system if they are registered users or, if they are not, by placing a true and correct copy in the United States mail, postage prepaid, to their address of record.

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This statement is filed twice: when the appeal is initially opened and later, in the principal briefs, immediately preceding the table of contents. See 6th Cir. R. 26.1 on page 2 of this form.

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STATEMENT IN SUPPORT OF ORAL ARGUMENT

Defendants-Appellees Midland County and Gladwin County request oral argument. The Plaintiffs-Appellants mischaracterize both the facts and the law. It is anticipated that such mischaracterizations will arise again in the Plaintiffs-Appellants' reply brief. Oral argument will be the only opportunity for the Defendants-Appellees' counsel to rebut such statements.

STATEMENT REGARDING JURISDICTION

Defendants-Appellees Midland County and Gladwin County accept the Plaintiffs-Appellants' jurisdictional statement as substantively correct.

COUNTER-STATEMENT OF ISSUES PRESENTED FOR REVIEW

1. Does the evidentiary record support the requisite elements of the Plaintiffs-Appellants' inverse condemnation "taking" claim under Michigan law? The Plaintiffs-Appellants answer: "Yes." The Defendants-Appellees answer: "No."
2. Does the evidentiary record support the requisite elements of the Plaintiffs-Appellants' Fifth Amendment "taking" claim under federal law? The Plaintiffs-Appellants answer: "Yes." The Defendants-Appellees answer: "No."

COUNTER-STATEMENT OF THE CASE

Introduction.

The Plaintiffs-Appellants summarize their argument by stating that "*Appellees set into motion the destructive forces that caused the [Edenville] Dam collapse by establishing dangerously high lake levels despite knowing that the Dam lacked adequate spillway capacity and was in need of significant repair.*" (Plaintiffs-Appellants' Brief, p. 8). They rely heavily on the recent Michigan Court of Appeals decision in *Krieger v. Department of Environment, Great Lakes, and Energy*, No. 359859, 2023 WL 5808605 (Mich. Ct. App. Sept. 7, 2023. **(Plaintiffs-Appellants' Brief, pp. 8, 11-15, 17-18)**.

But *Krieger* addressed claims against the *state* agencies that actually exercised regulatory authority over the dam. Moreover, *Krieger* offered only a pre-discovery analysis by reference to the pleadings alone, with the bare allegations of the plaintiffs accepted as "true." *Krieger*, at *2, 13. The analysis is not dispositive against Midland and Gladwin Counties. This case must be decided on the actual evidentiary record as it relates to the Counties.

Substantive Facts. When Boyce failed to satisfy repeated demands by the Federal Energy Regulatory Commission (FERC) for the spillway capacity to be upgraded, the FERC revoked the Edenville Dam's power generation license effective September 10, 2018. (R. 59-7, Pg ID 3634-3663, FERC Order Revoking Boyce Hydro License; R. 59-8, Pg ID 3774-3775, IFT Final Report, pp. 86-87). Regulatory authority over the dam then fell to the Michigan Department of Environment, Great Lakes and Energy

(EGLE). Mich. Comp. Laws §§ 324.31506, et seq. (R. 59-8, Pg ID 3695, IFT Final Report, p. 7).

ARGUMENT

I. THE STANDARD OF APPELLATE REVIEW IS *DE NOVO*.

SUMMARY OF ARGUMENT

Defendants-Appellees County of Midland and County of Gladwin sought summary in the district court under Fed. R. Civ. P. 56. **(R. 56, Pg ID 2377, 2396, Defendants' Motion for Summary Judgment, pp. 1, 12).** The district court granted summary judgment to the counties under the Rule 56 standard. **(R. 81, Pg ID 7020, 7021, Magistrate's Report and Recommendation, pp. 6-7; R. 83, Pg ID 7044-7046, Opinion and Order Granting Summary Judgment; R. 84, Pg ID 7047, Judgment).**

A district court's grant of summary judgment is reviewed *de novo* on appeal. ***Puskas v. Delaware County, Ohio***, 56 F.4th 1088, 1093 (6th Cir. 2023). In doing so, this Court uses "the same Rule 56(c) standard as the district court. ***Moldowan v. City of Warren***, 578 F.3d 351, 373 (2009).

ARGUMENT

I. THE STANDARD OF APPELLATE REVIEW IS DE NOVO.

Summary judgment is properly granted where "there is no genuine issue as to any material fact and the movant is entitled to judgment as a matter of law." Fed. R. Civ. P. 56(a); ***Puskas***, 56 F.4th at 1093. "[T]he mere existence of *some* alleged factual dispute between the parties will not defeat an otherwise properly supported motion for summary judgment; the requirement is that there be no *genuine* issue of *material* fact." ***Anderson v. Liberty Lobby, Inc.***, 477 U.S. 242, 247-8 (1986), *emphasis in original*.

App. at 572-3, 805 N.W.2d at 541-2, *emphasis added*.

As described above, neither Midland County nor Gladwin County (nor the FLTF as their "delegated authority") ever had "ownership" of the Edenville Dam until after the dam failure and flooding of which the Plaintiffs-Appellants' complain.

II. THE EVIDENTIARY RECORD CANNOT SUSTAIN A MICHIGAN "INVERSE CONDEMNATION" CLAIM AGAINST EITHER MIDLAND OR GLADWIN COUNTY.

A. The Plaintiffs-Appellants wrongly interpret *Krieger* as satisfying their burden of proof.

It was the Boyce entities alone that had ownership - - up to and including the date of the May 19, 2020 dam failure and flood - - as demonstrated by both the record in the present case and the liability judgment in *Michigan Department of Environment v. Mueller*, No. 1:20-cv-528, 2023 WL 7162918, at *1, 4 (W.D. Mich. Oct. 6, 2023).

A. The Plaintiffs-Appellants wrongly interpret *Krieger* as satisfying their burden of proof.

The Plaintiffs acknowledge that "a plaintiff alleging a de facto taking or inverse condemnation 'must establish (1) that the government's actions were a substantial cause of the decline of the property's values and (2) that the government abused its powers in affirmative actions directly aimed at the property.'" *Blue Harvest, Inc. v. Department of Transportation*, 288 Mich. App. 267, 277, 792 N.W.2d 798, 805 (2010). **(Plaintiffs-Appellants' Brief, p. 11).** The *Blue Harvest* case further declares that "a plaintiff alleging inverse condemnation must prove a causal connection between the government's action and the alleged damages." *Id.*, 288 Mich. App. at 277, 792 N.W.2d at 805.

The Plaintiffs-Appellants also quote *Charles Murphy, M.D., P.C. v. Detroit*,

III. THE PLAINTIFFS-APPELLANTS CANNOT MAINTAIN A FIFTH AMENDMENT "TAKING" CLAIM AGAINST EITHER MIDLAND OR GLADWIN COUNTY.

B. The Plaintiffs-Appellants have failed to produce evidence to support their Michigan inverse condemnation claim.

Although the counties' actions may be characterized as affirmative action, it was neither an "abuse" of governmental powers nor "directly aimed" at the Plaintiffs-Appellants' properties. This action was "aimed" only at Wixom Lake and the property of the Boyce entities, as the mechanism governing greater or lesser outflow from the lake.

Moreover, the Plaintiffs-Appellants complain that the counties failed to undertake the spillway upgrades that the Plaintiffs-Appellants insist were needed, i.e., inaction. Under Michigan law, an inverse condemnation claim must be based on physical intrusion, i.e., flooding of their properties as a consequence of the failure of "action" by the defendant, not inaction. *Blue Harvest, Inc.*, 288 Mich. App. at 277. the Edenville Dam. Because this falls in the category of a physical taking, it must be analyzed in light of precedential cases that likewise involve physical takings. It is "inappropriate to treat cases involving physical takings as controlling precedents for the evaluations of a claim that there has been a regulatory taking, and vice versa." ***Tahoe-Sierra Preservation Council, Inc. v. Tahoe Regional Planning Agency***, 535 U.S. 302, 323 (2002).

In fact, Fifth Amendment taking claims arising from instances of alleged governmentally caused flooding are numerous. And, as recognized by this Court, much of the instructive case law has been developed in the United States Court of Claims (now the Court of Federal Claims). ***Lenoir v. Porters Creek Watershed District***, 586 F.2d 1081, 1094 (6th Cir. 1978).

III. THE PLAINTIFFS-APPELLANTS CANNOT MAINTAIN A FIFTH AMENDMENT "TAKING" CLAIM AGAINST EITHER MIDLAND OR GLADWIN COUNTY.

As acknowledged by the Plaintiffs-Appellants, a Fifth Amendment "taking" claim may assume "one of two forms." ***McCarthy v. City of Cleveland***, 626 F.3d 280, 284 (6th Cir. 2010). There may be either a "physical taking" whereby the government "physically intrudes upon a plaintiff's property" or a "regulatory taking" whereby the government encroaches upon use of property. ***Id.***

As acknowledged by the Plaintiffs-Appellants, a Fifth Amendment "taking" claim may assume "one of two forms." *McCarthy v. City of Cleveland*, 626 F.3d 280, 284 (6th Cir. 2010). The Plaintiffs-Appellants' claim is predicated upon a physical intrusion, i.e., flooding of their properties. It is "inappropriate to treat cases involving physical takings as controlling precedents for the evaluations of a claim that there has been a regulatory taking, and vice versa." *Tahoe-Sierra Preservation Council, Inc. v. Tahoe Regional Planning Agency*, 535 U.S. 302, 323 (2002).

The Plaintiffs-Appellants cite *Pumpelly v. Green Bay Co.*, 80 U.S. 166, 181 (1871) for the proposition that a flood can be a taking. But the case law that has developed in the 150 years since *Pumpelly* is not so absolute. The Plaintiffs-Appellants must prove more than the mere happening of a flood upon their properties.

Although the Supreme Court has rejected "a categorical bar to temporary-flooding takings claims," *Arkansas Game and Fish Commission v. United States*, 568 U.S. 23, 36 (2012), both the duration and frequency of flooding remain critical factors. As long-established by the Supreme Court, "it is the *character of the invasion*, not the amount of damage resulting from it . . . that determines the question whether it is a taking." *United States v. Cress*, 243 U.S. 316, 328 (1917) (emphasis added). Isolated flooding events "do not make a taking." *Ridgeline, Inc. v. United States*, 346 F.3d 1346, 1357 (Fed. Cir. 2003); *Baird v. United States*, 5 Ct. Cl. 324, 329 (1984); *Hartwig v. United States*, 202 Ct. Cl. 801, 809 (1973).

The Plaintiffs-Appellants cite ***Pumpelly v. Green Bay Co.***, 80 U.S. 166 (1871), for the proposition that "where real estate is actually invaded by superinduced additions of water, earth, sand, or other material, or by having any artificial structure placed on it, so as to effectually destroy or impair its usefulness, it is a taking, within the meaning of the Constitution." ***Id.***, at 181. **(Plaintiffs-Appellants' Brief, p. 22)**. But the case law that has developed during the 150 years following the ***Pumpelly*** decision is not so absolute as this statement from ***Pumpelly*** would suggest. The Plaintiffs-Appellants must prove more than the mere happening of a flood upon their properties.

This Court should not be misled by Plaintiffs-Appellants' citation to ***Arkansas Game and Fish Commission v. United States***, 568 U.S. 23 (2012) for the proposition that "[a] taking can occur when a person's property is damaged by a temporary flooding." **(Plaintiffs-Appellants' Brief, p. 22)**. Although the Supreme Court has rejected the "a categorical bar to temporary-flooding takings claims," ***Arkansas Game and Fish Commission***, 568 U.S. at 36, both the duration and frequency of flooding remain critical factors to consider.

As long-established by the Supreme Court, "it is the *character* of the invasion, not the amount of damage resulting from it . . . that determines the question whether it is a taking." ***United States v. Cress***, 243 U.S. 316, 328 (1917), *emphasis added*. The ***Arkansas Game and Fish Commission*** decision rejected "*only*" categorical

CONCLUSION AND RELIEF REQUESTED

For the reasons described above, the record will not sustain the Plaintiffs-Appellants' Michigan "inverse condemnation" claim or Fifth Amendment "taking" claim against either Midland County or Gladwin County. Summary judgment in favor of the counties should be affirmed.

Respectfully submitted,

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Dated: January 31, 2023

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January 31, 2024

CERTIFICATE OF COMPLIANCE

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Pursuant to the 6th Cir. R. 32(a)(7)(c), the undersigned certifies this brief complies with the type-volume limitations of 6th Cir. R. 32(a)(7)(B).

I certify this brief complies with the type-volume limitations of Fed. R. App. P. 32(a)(7)(B)(i). Exclusive of the items exempted by Fed. R. App. P. 32(f), the brief contains 1,146 words.

1. Exclusive of the exempted portions in 6th Cir. R. 32(a)(7)(B)(iii), the brief contains:

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I hereby certify that on January 31, 2024, I electronically filed the foregoing document with the Clerk of the Court using the ECF system which will send notification of such filing to the following: All Attorneys of Record; and I hereby certify that I have mailed by United States Postal Service the document to the following non-ECF participants: N/A.

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